



Can you shed some light on the new centre that Digi-Key is setting up in India? Will it be a global support centre?

We are purposely calling it the Global Capability Centre. I hate using the word support because it's what other people use India for—that is, just support. Our centre in India will be an extension of Digi-Key Inc. We'll have sales roles, IT roles, design-engineering-support roles, and all of the supply-chain roles. Almost every role you can imagine will be there. So, we don't think of this as a support function at all. And that is because maybe other companies do not have sales in India, but we do have sales, that too explosive sales. So, it's not without reason why we are doing it. We have customers, we source products from India, and we write code from India; so it's real. This is the best time for us to bring it all together into one global capability centre.

How will your customers benefit from your local presence and what are the prospects that we can see concerning delivery, billing in the rupee, the GST input, etc?

Yeah, I think you already are touching on it. So, sometimes, when we don't have a legal entity in India, some of the logistics become hard for our customers. So, currently, the customers are importers on record today, but by having a legal entity we will become the importers on record, remove the customs pain for our customers, and have a unified tax structure, instead of just buying in the US dollar, and be able to write whatever code we need to seamlessly on the invoices.

In addition to the sales and the logistic improvement experience angle, we are reaching out to universities in India. We are hiring university ambassadors, and we are catching engineers at the source in the engineering colleges. We are

planning to provide content, such as how to do a particular design along with reference designs. We are also thinking of providing new product samples. These are the latest and greatest semiconductor designs that are coming into the market.

To fuel these designs for new products, we are reaching out to universities. The HoDs of these universities are super interested because we aren't just giving out products, we are giving them designs for the products so that students can use them to learn, and our relationship with our customers starts right there. We don't monetize the books, but they will come to know of Digi-Key and the resources we have so that when they go to the job market and start working for companies, we are a prospective destination for them. So those are some of the key advantages of being here and having boots on the ground.

Any change expected in the way you deliver products, or will it continue to happen directly from the US?

Yes, right now our delivery will continue from the US. That is more efficient because our warehouse and our logistics connection points are in the US. We are based out of Thief River Falls, a small town in Minnesota. The airport takes about ten planes of UPS and FedEx delivery boxes every day, lands in Thief River Falls and it takes minutes for them to take off a full load of Digi-Key products. Due to our exclusive nature there, we are better connected than we'd be in any big city where we'd have to compete with the IRS to get our shipments into the planes, taking us more days to ship the products. Currently, for Europe, it is two days and for Asia, it is three days. Ninety-nine per cent of the time we are able to meet those SLAs.

Can you shed some details about the legal entity of your India setup?

It's a partnership with SMC Squared that has a timeline, which is very unique. The legal entity work in India takes a long time, so we didn't want to wait for all the paperwork to be done before we could start. They call it the build-operate-transfer model; contractually it gets transferred. So as soon as SMC Squared is shoulder-to-shoulder with us, we will build the legal entity, finish the paperwork, and get all of our infrastructure in place.

Our goal is to complete the transfer within three years. Then SMC quietly drops off from the partnership while Digi-Key operates the whole facility on its own. SMC Squared has done that with other companies. So, they have a leg up in terms of teaching us how to do that. Even as simple as pulling leads to networking with all the other facilities, they've done all that for other clients. They've been an amazing partner to give us the speed and runway time as we set up our legal entity here.

With respect to India, are there any interesting trends that you can share based on web metrics? Where do we rank with respect to traffic?

In a month, globally, we get 11 million unique visitors on our website and out of that India ranks among the top ten when it comes to web traffic. So that means the traffic from India is high.

We have also discovered that the engineering population in India accesses our content a lot. A lot of them are not converted into sales, but it is really interesting. For example, on our *digikey.com* website, we have resources like calculator pages, which have engineering calculators, that allow them to perform calculations such as converting resistance